



SPONSOR: Sen. Seigfried & Sen. Townsend & Rep. Snyder-Hall
Sens. Buckson, Walsh; Reps. Burns, K. Johnson,
Lambert, Morrison, Romer

DELAWARE STATE SENATE
153rd GENERAL ASSEMBLY

SENATE BILL NO. 71

AN ACT TO AMEND TITLE 18 OF THE DELAWARE CODE RELATING TO MEDICARE SUPPLEMENT
POLICIES.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

1 Section 1. Amend Chapter 34, Title 18 of the Delaware Code by making deletions as shown by strike through and
2 insertions as shown by underline as follows:

3 § 3401. Definitions.

4 () "Medicare Advantage plan" means a plan of coverage for health benefits under Medicare Part C as defined in
5 42 U.S.C. 1395w-28(b)(1), and includes all of the following:

6 (1) Coordinated care plans that provide health care services, including health maintenance organization
7 plans, with or without a point-of-service option, plans offered by provider-sponsored organizations, and preferred
8 provider organization plans.

9 (2) Medical savings account plans coupled with a contribution into a Medicare Advantage plan medical
10 savings account.

11 (3) Medicare Advantage private fee-for-service plans.

12 Section 2. Amend Chapter 34, Title 18 of the Delaware Code by making deletions as shown by strike through and
13 insertions as shown by underline as follows and by redesignating accordingly:

14 § 3411. Enrollment periods.

15 (a) A person enrolled in a Medicare supplement policy or certificate may cancel that person's existing Medicare
16 supplement policy or certificate and purchase or select another Medicare supplement policy or certificate with the same or
17 lesser benefits during an annual open enrollment period commencing 30 days prior to that person's birthday and remaining
18 open for at least 30 days after that person's birthday.

19 (b) During the open enrollment period offered pursuant to subsection (a) of this section, an issuer of Medicare
20 supplement policies or certificates in this State may not deny or condition the issuance or effectiveness of a Medicare
21 supplement policy or certificate being offered or discriminate in the pricing of such a Medicare supplement policy or

22 certificate because of health status, claims experience, receipt of health care, or medical condition, and may not impose an
23 exclusion of benefits based on a preexisting condition under such a Medicare supplement policy or certificate.

24 (c) A person enrolled in a Medicare Advantage plan or certificate may cancel that person's existing Medicare
25 Advantage plan or certificate and enroll in a Medicare supplement policy or certificate during Medicare open enrollment
26 periods.

27 (d) With respect to any individual applying for a Medicare supplement policy or certificate pursuant to subsection
28 (c) of this section, except as otherwise set forth in this subsection, an issuer of Medicare supplement policies or certificates
29 in this State may not deny or condition the effectiveness of a Medicare supplement policy or certificate being offered.
30 Nothing in this subsection prevents an issuer from individually rating each applicant applying for a policy or certificate
31 pursuant to subsection (c) of this section or applying a preexisting condition limitation in accordance with § 3403 of this
32 title.

33 (e) At least 30 days before the beginning of the open enrollment period offered pursuant to subsection (a) of this
34 section, but not more than 60 days before the beginning of that period, an issuer that issues a Medicare supplement policy
35 or certificate must notify each person to whom the open enrollment period applies of all of the following:

36 (1) The dates on which the open enrollment period begins and ends and the rights of the person
37 established by the provisions of this section.

38 (2) Any modification to the benefits provided by the policy or certificate under which the person is
39 currently insured or adjustment to the premiums charged for that policy or certificate.

40 (f) The open enrollment periods created pursuant to this section are in addition to, and independent of, any other
41 open enrollment periods established by federal or state law or regulation.

42 Section 3. This Act takes effect on January 1 following its enactment into law.

SYNOPSIS

This Act creates a special open enrollment period for persons who are already enrolled in a Medicare supplement policy or certificate to cancel their existing policy or certificate and purchase another Medicare supplement policy or certificate that provides the same or lesser benefits. Only persons who are already enrolled in a Medicare supplement policy or certificate are eligible for the special open enrollment period. The special enrollment period begins 30 days before an eligible person's birthday and remains open for at least 30 days following the eligible person's birthday. During this special open enrollment period, individuals switching from one Medicare supplement policy to another cannot be denied coverage and coverage and rates cannot be dependent upon the person's medical history. The Act also obligates issuers to notify eligible persons who are enrolled in their Medicare supplement policies or certificates of the dates of the open enrollment period, at least 30 days before it begins, and of any modification to the benefits provided by the policy under which the person is currently insured.

This Act also allows persons enrolled in a Medicare Advantage plan to cancel their existing policy, enroll in Medicare during the annual Medicare open enrollment period and apply for a Medicare supplement policy. For individuals switching from Medicare Advantage to a Medicare supplement policy, the Act prohibits issuers of Medicare supplement policies from denying applications for such policies but does allow issuers to individually rate and apply a pre-existing condition limitation.

